

the tulip continued in Holland, and wide markets eventually developed for flowers and bulbs. Anyone who has seen the tulip fields of this calm and pleasant land in the spring retains forever a feeling that the Tulipomania did foretell nature's true grace.

Missing from the history of the Tulipomania and the predictable circumstances associated with it, as with all great speculations, are the names of the major players. We are more fortunate in the next of the classic episodes; it is dominated by one of the central figures in all financial history, that of the Scotsman John Law.



John Law's scheme to pay off France's debts by selling shares in the nonexistent gold riches of Louisiana ended in ruin.

But even in the case of Law, a word of caution is in order. I have sufficiently urged that all suggestions as to financial innovation be regarded with extreme skepticism. Such seeming innovation is merely some variant on an old design, new only in the brief and defective memory of the financial world. No one over the centuries has been more celebrated than John Law; the *Encyclopaedia Britannica* declares him to have been both an honest man and a financial genius. In his case too, however, let there be doubts.

Law was born in 1671 into the world of finance. His father, an Edinburgh goldsmith, was, in the manner of men in that trade, actively engaged in holding and lending money. The younger Law moved at an early age to London, where, along with enjoying a markedly sybaritic existence, he seems to have given some attention to matters of banking and finance.